

Disclosure Statement at 31 December 2024

This disclosure statement is prepared in accordance with the requirements under the Insurance (Valuation and Capital) Rules and the Circular on Public Disclosure Requirements for the First Financial Year Adopting Risk-based Capital Regime dated 8 August 2025 / draft Insurance (Public Disclosure) Rules.

1 Company profile

(a) Authorized insurer's name

Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company)

2 Financial position

(a) Balance sheet determined under the Insurance (Valuation and Capital) Rules

(Unit: in HKD thousands)	As at 31 December 2024		
	Total	Long term business	General business
Total assets	2,896,904	460,698	2,436,206
Cash and deposits	917,923	301,814	616,109
Debt securities	898,681	-	898,681
Other financial assets	752,057	82,942	669,115
Reinsurance assets	266,045	14,191	251,854
Tax assets	17,109	16,947	162
Other assets	45,089	44,804	285
Total liabilities	1,584,433	(239,669)	1,824,102
Insurance liabilities	1,321,753	(360,614)	1,682,367
Reinsurance liabilities	983	983	-
Other financial liabilities	214,406	106,020	108,386
Tax liabilities	32,687	-	32,687
Other liabilities	14,604	13,942	662
Net assets	1,312,471	700,367	612,104

3 Insurance liabilities

(a) Total insurance liabilities determined under the Insurance (Valuation and Capital) Rules

Insurance Liabilities of Long Term Business

(Unit: in HKD thousands)	As at 31 December 2024		
	Hong Kong branches of non-HK insurers: all long term business of Hong Kong branches, other than fund of reinsurance business with offshore risk if established	Applicable to Hong Kong branches of non-HK insurers: reinsurance business with offshore risk if fund of insurance business with offshore risk is established	Total long term business
	Other long term business		
Total insurance liabilities (gross of reinsurance)	(103,530)	(257,084)	(360,614)
Of which: long term insurance liabilities	(103,530)	(257,084)	(360,614)
Outstanding claims	49,073	17,351	66,424
Current estimate ¹	(198,501)	(284,575)	(483,076)
Margin over current estimate	45,898	10,140	56,038
Prepaid premiums	-	-	-
Other long term insurance liabilities	-	-	-
Of which: general insurance liabilities	-	-	-
Reinsurance assets	14,191	-	14,191
Reinsurance liabilities	-	983	983

¹ Excludes outstanding claims, prepaid premiums and other long term insurance liabilities which are disclosed separately.

Insurance Liabilities of General Business

(Unit: in HKD thousands)	As at 31 December 2024		
	Reinsurance		Total general business
	Proportional	Non-proportional	
Total general insurance liabilities (<u>gross</u> of reinsurance)	<i>Not applicable</i>	<i>Not applicable</i>	<i>1,682,367</i>
Total general insurance liabilities excluding other general insurance liabilities (<u>gross</u> of reinsurance)	<i>1,202,924</i>	<i>479,443</i>	<i>1,682,367</i>
Outstanding claims liabilities	<i>813,591</i>	<i>412,952</i>	<i>1,226,543</i>
Premium liabilities	<i>312,208</i>	<i>47,037</i>	<i>359,245</i>
Margin over current estimate for outstanding claims liabilities	<i>51,638</i>	<i>15,094</i>	<i>66,732</i>
Margin over current estimate for premium liabilities	<i>25,486</i>	<i>4,360</i>	<i>29,847</i>
Total general insurance liabilities excluding other general insurance liabilities (<u>net</u> of reinsurance)	<i>1,036,451</i>	<i>394,062</i>	<i>1,430,513</i>

4 Capital adequacy

- (a) Prescribed capital amount at total level and risk capital amount (“RCA”) by sub-risk, determined in accordance with the Insurance (Valuation and Capital) Rules (without applying the transitional arrangement under Part 7 of the Insurance (Valuation and Capital) Rules)

Prescribed Capital Amount

(Unit: in HKD thousands)	As at 31 December 2024
Market risk (diversified RCA)	24,707
Interest rate risk RCA	20,895
Credit spread risk RCA	-
Equity risk RCA	-
Property risk RCA	-
Currency risk RCA	8,959
Diversification benefits within market risk	(5,146)
Life Insurance Risk (diversified RCA)	290,897
Mortality risk RCA	42,017
Longevity risk RCA	-
Life catastrophe risk RCA	153,512
Morbidity risk RCA	145,018
Expense risk RCA	9,804
Lapse risk RCA	99,034
Diversification benefits within life insurance risk	(158,489)
General Insurance Risk (diversified RCA)	132,869
Reserve and premium risk RCA	114,590
Natural catastrophe risk RCA	44,447
Man-made non-systemic catastrophe risk RCA	-
Man-made systemic catastrophe risk RCA	824
Mortgage insurance risk RCA	-
Diversification benefits within general insurance risk	(26,993)
Counterparty default and other risk RCA	23,129
Diversification benefits among risk modules	(134,197)
Operational risk RCA	27,049
Adjustment for loss absorbing capacity cap	-
Adjustment for tax effect	(34,806)
Any other items which the IA may specify to adjust	-
Prescribed capital amount	329,648

- (b) Composition of capital base determined in accordance with the Insurance (Valuation and Capital) Rules

Capital Base

(Unit: in HKD thousands)	As at 31 December 2024
Unlimited Tier 1 capital	1,158,281
Limited Tier 1 capital	-
Tier 2 capital	154,190
Capital base	1,312,471

- (c) Ratio of capital base to prescribed capital amount

	As at 31 December 2024
Ratio of capital base to prescribed capital amount	398%

5 Statement of Compliance

- (i) I am satisfied with the completeness, accuracy and consistency of the information disclosed in this disclosure statement in respect of Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company);
- (ii) I am satisfied that the information in this disclosure statement is prepared in accordance with the Insurance (Valuation and Capital) Rules and the Circular on Public Disclosure Requirements for the First Financial Year Adopting Risk-based Capital Regime dated 8 August 2025 / draft Insurance (Public Disclosure) Rules (subject to any applicable variation or relaxation);
- (iii) The information disclosed in this disclosure statement can be reconciled with the audited specified annual forms of Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company)'s annual returns for the financial year to which this disclosure statement relates, as submitted under rule 4 of the Insurance (Submission of Statements, Reports and Information) Rules; and
- (iv) I am satisfied that Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company) has complied with the capital requirements that apply to it under the Insurance (Valuation and Capital) Rules, during the financial year to which this disclosure statement relates.

Name:	Steve Luqun Zhang
Position:	CEO
Company Name:	Münchener Rückversicherungs-Gesellschaft (Munich Reinsurance Company)